

shoulder is still above the right shoulder. Don't let an unusual volume pattern persuade you to ignore a head-and-shoulders top. Volume isn't important to performance. I'll prove that in [Table 41.6](#).

Neckline. The neckline, as shown in [Figure 41.3](#), connects the two troughs between the three inner peaks (the armpits). The neckline slopes upward but need not do so (contrast with [Figure 41.2](#)). The neckline serves as confirmation. Once price closes below the neckline, it turns squiggles on a price chart into a valid chart pattern.

Breakout direction. The breakout is always downward. A breakout occurs when price closes below an up-sloping neckline or below the right armpit (the lowest low between the head and right shoulder) if the neckline slopes downward. The reason for the armpit rule is to avoid situations like that shown in [Figure 41.2](#). The neckline slopes downward, and if it were steep enough, you might not get a breakout. (The figure *does* show a breakout, but it's well below the armpit signal, shown here as Support Level.)

Confirmation. Price must break out downward, either by closing below the neckline or below the right armpit, to confirm the head-and-shoulders top as a valid chart pattern.

Focus on Failures

[Figure 41.4](#) shows an example of a head-and-shoulders top failure. This well-formed pattern has a head centrally located between two shoulders. The left and right shoulders are at the same price level, 29.13. Volume is highest on the left shoulder and lowest on the right, as expected.

Why does price fail to pierce the neckline at point A and head down? The answer is not clear. The formation is perfect except that price fails to drop. This example acts as a consolidation or continuation of the upward trend.